

Errata for *The Sharpe Ratio: Statistics and Applications*

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But every error is due to
extraneous factors (such as
emotion and education); reason
itself does not err.

KURT GÖDEL

1 Errata

- The book uses the `tsrsa` package, but does not describe how to install that package. Installation is via the following directions:

```
if (require(remotes)) {  
  remotes::install_github("shabbychef/tsrsa/rpkg")  
}
```

- Exercises 2.42 and 2.43 refer to material that was removed from the book, and should be ignored.
- In Example 5.0.2, the variance is not given with sufficient digits. The moments of x_t should read as:

$$\begin{aligned} E[x_t] &= \begin{cases} 0.01 \text{ mo.}^{-1} & \text{if } f_{t-1} = -1, \\ 0.03 \text{ mo.}^{-1} & \text{otherwise.} \end{cases} \\ \text{Var}(x_t) &= \begin{cases} 0.001 \text{ mo.}^{-1} & \text{if } f_{t-1} = -1, \\ 0.0081 \text{ mo.}^{-1} & \text{otherwise.} \end{cases} \end{aligned}$$

- Equation (4.17) was excerpted directly from [1], which considered a different transform on the vector of Sharpe ratios. It should instead read:

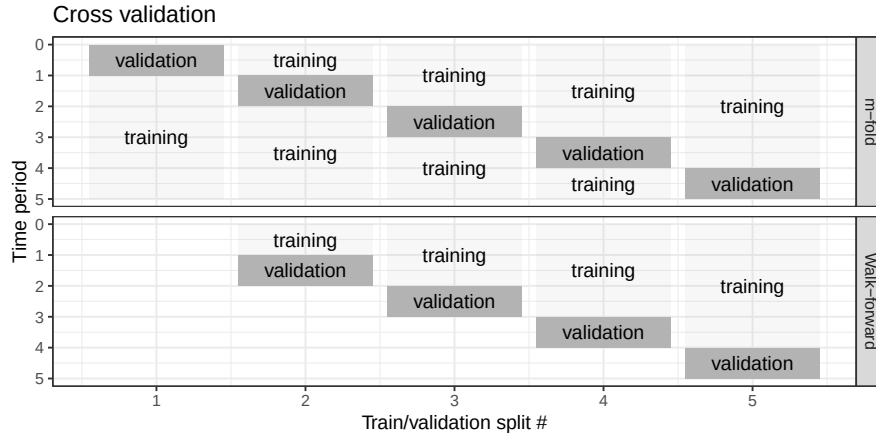
$$\hat{\xi} = \Omega^{-1/2} \hat{\zeta} = c \bar{\zeta} \mathbf{1} + b_2 (\hat{\zeta} - \bar{\zeta} \mathbf{1}). \quad (4.17)$$

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- Equation (4.21) had some cut-and-paste errors in it. It should instead read:

$$H_0 : \zeta = \zeta_0 \mid \hat{\zeta} \geq \zeta_1 \quad \text{versus} \quad H_1 : \zeta > \zeta_0, \quad (4.21)$$

- In Section (4.1.6) the loading matrix W is said to have size $k \times k$. It should instead have size $p \times k$.
- The different shades of grey in Figure 8.12 are not distinguishable in the printed version of the book. They look as follows:



References

- [1] Steven E. Pav. Conditional inference on the asset with maximum Sharpe ratio. Privately Published, 2019. URL <http://arxiv.org/abs/1906.00573>.